STEP 1.1 · FOUNDATIONS

Introduction to Corporate Strategy

What strategy is, the levels it operates at, and the frameworks your exam will test you on.

Strategic Management

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CONCEPT 01

What Is Corporate Strategy?

Strategy is the direction and scope of an organisation over the long-term, achieving advantage through its configuration of resources and competencies *(Johnson, Scholes and Whittington)*. It is not operations — strategy sets where the business is going; operations execute that direction day to day.

> **Strategy answers three questions: Where are we now? Where do we want to go? How do we get there? Every framework in this course maps onto one of these three.**

CONCEPT 02

The Three Levels of Strategy

Strategy operates at three levels. Identifying which level a decision belongs to is a core exam skill — case questions frequently ask you to classify and explain.

Level	Focus	Example (Zambeef)
Corporate	Which industries and markets to compete in. Portfolio decisions. Capital allocation across units.	Zambeef expands cold-chain operations into East Africa alongside its Zambian business.
Business (Competitive)	How to compete within a specific market. Which customers to serve. How to beat rivals.	Zambeef retail competes on freshness and convenience rather than undercutting market stalls on price.
Functional / Operational	Day-to-day implementation through HR, marketing, finance, and operations.	Zambeef marketing allocates ZMW 80,000 to a loyalty scheme for repeat customers.

> Corporate = 'what businesses should we be in?'
> Business = 'how do we compete in this business?'
> Functional = 'how do we execute that strategy day to day?'
> Classify the level before analysing the decision — that's what the question is testing.

> *ZESCO announces it will expand into solar energy generation for rural communities. Identify which level of strategy this represents and justify your answer. Then name two decisions that must follow at the business level and two at the functional level to make the corporate decision viable.*

CONCEPT 03

Mintzberg's Five Ps of Strategy

Mintzberg argued strategy is not always deliberate. He identified five forms it takes:

P	What it means
Plan	A conscious, top-down process — analyse, choose, implement. The formal written strategy.
Ploy	A tactical manoeuvre against a specific rival. Not the long-run position — just the move.
Pattern	Consistent behaviour that emerges over time, planned or not. Strategy as what you repeatedly do.
Position	How the firm places itself relative to competitors and the external environment.
Perspective	The organisation's ingrained worldview — its shared assumptions about how to compete.

> Plan vs. Pattern is the most tested pair. Plan is deliberate and top-down. Pattern is emergent — it shows up in consistent decisions over time whether or not anyone planned it. A company can have an emergent pattern that contradicts its written plan.

CONCEPT 04

The Strategic Management Process

Strategic management is a cycle of four stages. Know each by name — 'describe the process' is a standard long-answer question.

Stage	What happens
1. Environmental Analysis	Scan external threats and opportunities; audit internal resources and capabilities. Tools: PESTEL, Porter's Five Forces (Step 2.1), SWOT, VRIO (Step 2.2).
2. Strategy Formulation	Set mission and objectives; generate strategic options; choose direction. Tools: Ansoff, BCG, Generic Strategies (Step 3.1, Step 3.2).
3. Strategy Implementation	Convert chosen strategy into structures, budgets, processes, and people.
4. Evaluation and Control	Monitor performance against targets; feed findings back into the next planning cycle.

Formulation begins with purpose — what is this organisation for and what is it trying to achieve? Get that wrong and every option you evaluate will be measured against the wrong target. Mission, vision, and objectives are the starting point.

CONCEPT 05

Competitive Advantage and Generic Strategies

A competitive advantage is an attribute that allows a firm to outperform rivals — through lower cost or higher perceived value. It is **sustainable** when rivals cannot easily replicate it. Porter mapped five specific approaches:

Strategy	How it competes	Scope
Low-Cost Provider	Lowest industry cost base. Compete on price.	Broad
Focused Low-Cost	Lowest cost within one specific niche.	Narrow
Broad Differentiation	Distinctive product — quality, brand, innovation. Premium price.	Broad
Focused Differentiation	Unique features for a narrow customer group. Premium price.	Narrow
Best-Cost Provider	Good quality at a competitive price — middle ground.	Value buyers

> Scope — broad vs. narrow — is independent of cost vs. differentiation. When reading a case: identify the scope first, then identify the source of advantage. Mixing these up is the most common error in generic strategy questions.

> *Zanaco operates branches across Zambia including rural areas that run at a loss. The bank treats this as part of its identity rather than a profitability question. Using Porter's five generic strategies, identify which strategy Zanaco follows and explain your reasoning. Then identify one specific threat from a mobile money competitor and name the stage of the strategic management process where Zanaco should address it.*

REFERENCE

Key Terms

Term	Definition
Strategy	Direction and scope of an organisation over the long-term, achieving advantage through resource configuration
Corporate Level	Decisions about which industries and markets to compete in; portfolio allocation across business units
Business Level	How to compete within a specific business unit or market
Functional Level	Day-to-day implementation of strategy through operational functions
Mintzberg's Five Ps	Plan, Ploy, Pattern, Position, Perspective — five ways strategy forms in organisations
Emergent Strategy	A pattern in decisions that arises over time without a deliberate plan (Mintzberg's Pattern)
Competitive Advantage	An attribute enabling a firm to outperform rivals through lower cost or higher value
Porter's Generic Strategies	Five approaches: low-cost provider, focused low-cost, broad differentiation, focused differentiation, best-cost provider

OUTCOMES

What You Should Now Be Able to Do

1. Define strategy using Johnson, Scholes and Whittington's definition and state the three strategic questions it answers
2. Classify any strategic decision as corporate, business, or functional level and justify the classification
3. Name and define all five of Mintzberg's Ps and distinguish deliberate (Plan) from emergent (Pattern) strategy
4. Describe the four stages of the strategic management process in sequence
5. Identify which of Porter's five generic strategies a firm is using from a case description, separating scope from source of advantage